

B&M should acquire Poundland at a 15% premium, creating £17m of value

Acquirer B&M	Target Poundland	Transaction Acquisition	Premium 15%	Purchase Price £386.9m
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Attractive Value Creation

£17.4m

Estimated transaction value creation

4.5%

Value creation / Purchase price

Positive NPV supported by recurring revenue and cost synergies, with the transaction remaining value-creating at the proposed 15% premium.

Synergy & Earnings Upside

£61.5m

FY30E EBITDA Synergies

31.0%

FY30E EPS Accretion

Procurement, distribution, head-office and revenue synergies drive progressive earnings improvement following initial integration costs.

Manageable Financial Impact

FY28E

First EPS Accretive year

1.58x

Pro forma Net Debt / EBITDA

Leverage increases following completion but declines to approximately 1.33x by FY30E as EBITDA and free cash flow improve.

Investment Recommendation - Proceed

Proceed with the acquisition at the proposed 15% premium, subject to maintaining price discipline and successful execution of the integration plan. The transaction offers a compelling strategic fit, positive value creation and significant long-term earnings and cash-flow benefits.

Key consideration:

Price discipline is critical: value creation falls to approximately zero at a ~20% acquisition premium

Poundland offers B&M an opportunity to expand its UK footprint and increase efficiencies

Store Network

Expand B&M's UK discount retail footprint

- Access to Poundland's established UK store network
- Complementary discount retail positioning
- Opportunity for selective estate optimisation

Procurement & Distribution

Leverage the scale of the combined business

- Greater combined purchasing volumes
- Improved supplier negotiating leverage
- Distribution and logistics optimisation
- Potential reduction in duplicated infrastructure

Customer & Revenue

Unlock incremental revenue opportunities

- Cross-selling across complementary customer bases
- Increased basket size
- Customer base optimisation
- Improved use of the combined store network

Operating Model

Apply B&M's scale and capabilities to Poundland

- Head-office consolidation
- Technology and marketing efficiencies
- Store rationalisation
- Potential improvement in Poundland's operating margin

Investment Logic

The strategic rationale is strongest where B&M's scale, procurement capabilities and operating expertise can address Poundland's weaker profitability. However, the acquisition case remains dependent on successful execution and paying an appropriate price.

B&M is acquiring Poundland at a 15% premium, implying a £434m transaction EV

Transaction Overview	
Transaction Date	21 Aug 2026
Acquirer	B&M
Target	Poundland
Standalone Value	£336.4m
Acquisition Premium	15.0%
Equity Purchase Price	£386.9m
Target Net Debt	£47.5m
Transaction EV	£434.3m
Transaction Fee	£3.9m
Total Deal Cost	£438.2m

Transaction Valuation

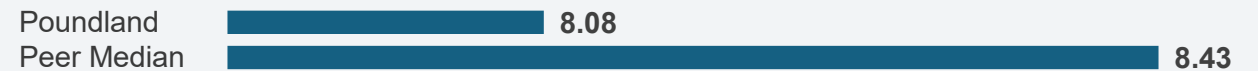
8.43x

FY26E EV / EBITDA

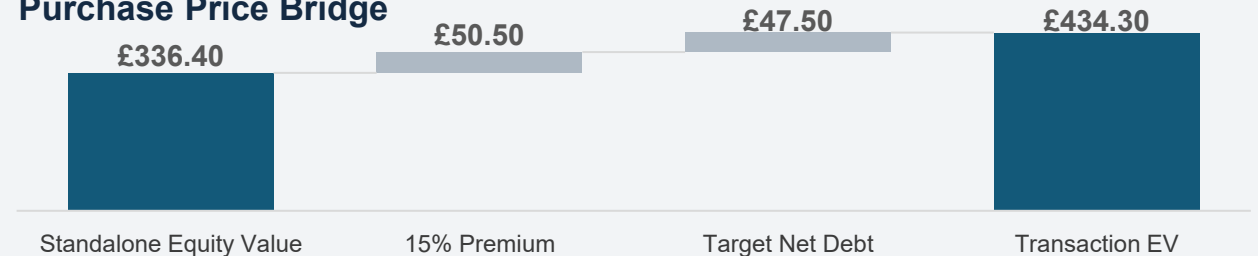
0.30x

FY26E EV / Revenue

FY26E EV / EBITDA



Purchase Price Bridge

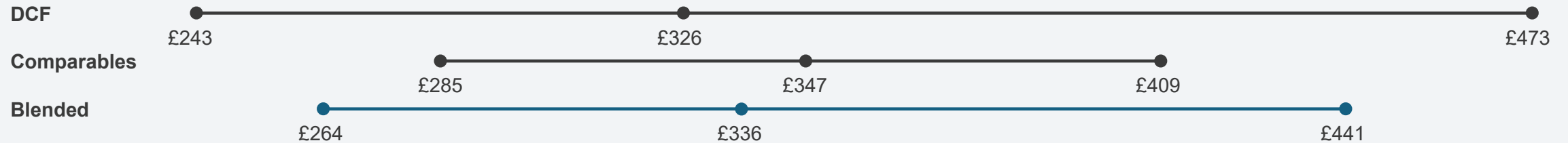


Valuation Takeaway

The proposed £386.9m equity purchase price represents a 15% premium to standalone value and implies an 8.43x FY26E EBITDA multiple, modestly above the 8.08x peer median. The premium is supported by the strategic rationale and anticipated synergies, while remaining below the ~20% maximum value-creating premium.

Poundland's £336m standalone valuation is supported by both DCF and trading comparables

Poundland Standalone Equity Value (£m)



DCF – 50%

Base Equity Value: £325.6m

- WACC: **9.0%**
- Terminal Growth: **2.0%**
- Forecast period: **FY26E–FY30E**

DCF reflects Poundland's expected recovery in profitability and cash generation following restructuring.

Trading Comparables – 50%

Base Equity Value: £347.2m

Peer set:

- B&M
- Pepco
- Dollar General
- Dollar Tree

Selected Poundland multiples:

- EV / Revenue: **0.53x**
- EV / EBITDA: **4.5x**

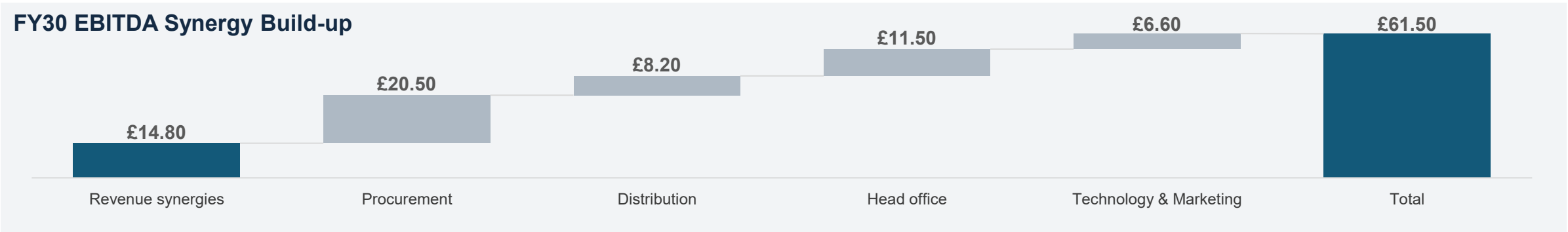
Lower-end multiples reflect Poundland's weaker current profitability and restructuring position.

Selected Standalone Equity Value: £336.4m

50% DCF / 50% Comparable Companies

The selected value sits between the DCF and comparable-company base cases, providing a balanced assessment of Poundland's standalone value. Adding the proposed 15% premium gets the £386.9m equity purchase price.

B&M can unlock £62m of annual EBITDA synergies by combining scale with Poundland's store network



Revenue Synergies
£73.8m gross revenue opportunity by FY30E

- Cross-selling / basket size - leverage the combined customer proposition
- Channel & estate - improve productivity across the combined store network
- Customer-base optimisation - increase customer reach and cross-shopping

£7.4m FY26E up to **£14.8m** FY30E EBITDA contribution

Cost Synergies
£46.7m FY30E gross cost savings

- Procurement - **£20.5m**
- Distribution - £8.2m
- Head office - £11.5m
- Technology - £3.3m
- Marketing - £3.3m

£9.4m FY26E up to **£46.7m** FY30E cost synergies

Integration Roadmap	FY26E	FY27E	FY28E	FY29E-30E
Integration Costs	£23m	£16.5m	£11m	£ - m

Key Takeaway:
£61.5m FY30E EBITDA synergies exceed £50.5m cumulative integration costs, but value creation remains dependent on execution.

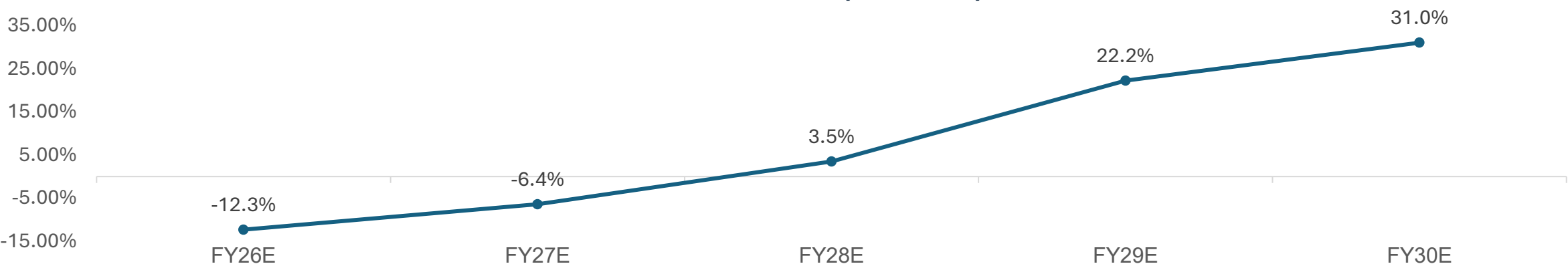
The acquisition is initially dilutive but becomes strongly accretive as synergies are realised

31.0%
FY30E EPS accretion
FY28 first accretive year

£78.0m
FY30E Incremental FCF
£167.7m cumulative through FY30E

1.33x
FY30E PF ND / EBITDA
1.58x immediately post-transaction

EPS accretion / (Dilution)



Incremental Free Cash Flow

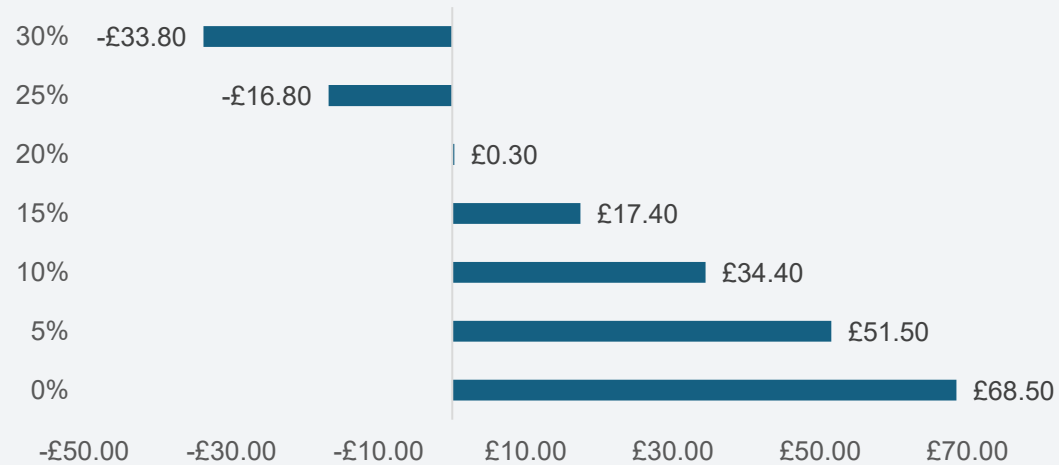
	FY26E	FY27E	FY28E	FY29E	FY30E
Incremental FCF	(£16.8m)	£6.1m	£29.8m	£70.7m	£78
£167.7m cumulative incremental FCF					

Leverage

Net Debt / EBITDA	FY26E	FY30E
B&M standalone	1.20x	1.43x
Pro forma	1.31x	1.33x
Leverage remains within a manageable range and converges toward standalone levels as earnings grow.		

Value creation is sensitive to purchase price and synergy delivery, limiting the margin for execution error

Purchase Price Sensitivity



Value creation approaches zero at ~20% acquisition premium

Synergy Sensitivity

Synergy Realisation	50%	75%	100%	125%
Value Creation	(£41.2m)	(£11.9m)	£17.4m	£46.6m

The transaction becomes value destructive if less than ~100% of the modelled synergy case is ultimately realised.

Key risks & Mitigants

Synergy Delivery

- **Risk:** Procurement, distribution and overhead savings may take longer or prove harder to realise than forecast.
- **Mitigant:** Phased integration plan with procurement, distribution and head-office savings prioritised early.

Poundland Profitability

- **Risk:** Poundland's EBITDA margin has fallen materially from historical levels, making the forecast recovery a key assumption.
- **Mitigant:** B&M's operating expertise and scale provide a pathway to margin recovery, but downside cases should be maintained.

Integration Execution

- **Risk:** IT, systems, store closures and organisational restructuring could create disruption and exceed the £50.5m integration-cost assumption.
- **Mitigant:** Staged integration over FY26E–FY28E and targeted estate rationalisation.

Purchase Price / Competition

- **Risk:** Competitive bidding or strategic enthusiasm could push the acquisition premium beyond the level supported by the model.
- **Mitigant:** Maintain a ~20% maximum value-creating premium and walk away above the valuation ceiling.

B&M should proceed with the acquisition at a 15% premium, subject to price discipline and successful integration

Proceed

Acquire Poundland for £386.9m equity consideration, representing a 15% premium to standalone value.

The transaction creates £17.4m of value in the base case, supported by operational synergies and Poundland's expected profitability recovery.

Transaction Overview

Standalone Equity Value	£336.4m
Acquisition Premium	15.0%
Equity Purchase Price	£386.9m
Transaction EV	£434.3m
Financing	50% cash / 50% debt
Value Creation	£17.4m

Strategic Fit

Expand UK discount retail scale

- Increased purchasing scale
- Broader customer reach
- Estate optimisation

Value Creation

Operational improvement provides significant upside

- **£61.5m** FY30E EBITDA synergies
- **£167.7m** cumulative incremental FCF
- **31.0%** FY30E EPS accretion

Financial Discipline

Attractive economics without excessive leverage

- **3.5%** FY28E EPS accretion
- **1.58x** post-transaction PF ND/EBITDA
- **~20%** value-creating premium ceiling

Conditions to Proceed

Maintain Price Discipline

Do not exceed the ~20% value-creating premium ceiling absent additional identified value.

Synergy Delivery

Procurement, distribution and head-office savings are critical.

Integration Management

Execute the FY26E–FY28E integration programme within budget of £50.5m cumulative integration costs.

Proceed at 15% premium - attractive strategic and financial upside, subject to disciplined pricing and successful execution.